27 Oct 2026 17:00:00 ET | 37 pages

Ligent Technologies, Inc (9856.HK)

Deep Dive

Initiate at Buy/High Risk: Attractive AI-Driven Growth Story

CITI'S TAKE

We initiate on Ligent at Buy/High Risk with a TP of HK$33.40. It is a well-positioned Chinese optical communication product supplier riding the AI infrastructure wave. In 2025, it ranked third domestically and fifth globally in optical transceivers, according to F&S. We believe the company's pivot to datacom products from 25% of revenue in 2023 to 66% in 2025 reflects effective product execution amid market tailwinds. The company's dual capability in optical transceivers and opt s a meaningful structural edge, in our view. With 1.6T n and capacity expansions underway in Thailand and th well positioned to enter a high-growth phase. We forecast 69%/83% three-year CAGRs for revenue/net profit in 2025-28E. We believe Ligent is the representable China AI capex proxy among H-share optics peers, given its exposure to top-tier Chinese CSP and AI chip customers, in our view.

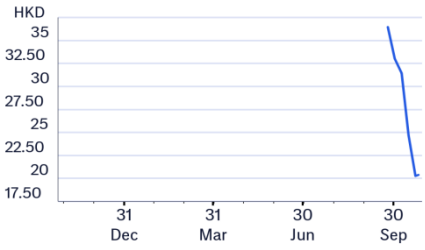
Buy / High Risk	
Price (27 Oct 26 16:10)	HK$19.60
Target price	HK$33.40
Expected share price return	70.4%
Expected dividend yield	3.2%
Expected total return	73.6%
Market Cap	HK$19,266M
	US$2,456M

Compelling AI-driven growth story — Ligent develops, manufactures, and sells optical transceivers, optical chips, and optical network terminals. In 2025, it ranked fifth globally (4.0% share) and third in China (10.1% share) in optical transceiver revenue, according to Frost & Sullivan. Total revenue reached Rmb8.35bn in 2025, up 64% YoY, driven by a structural shift toward high-rate datacom transceivers for AI and cloud computing applications.

Growth driven by product upgrades — Revenue growth is driven by volume scale-up and ASP expansion as 800G reaches full scale and 1.6T products commence commercial ramp. We forecast revenue will grow 43%/149%/36% in 26/27/28E. The exceptional 149% growth projected in 2027E reflects the convergence of volume acceleration, 1.6T n, and broadening of the global customer base.

Valuation & TP — Our SOTP-based TP of HK$33.40 is derived from: 1) 6x 27E EPS for Ligent's optical module business, set at a 20% discount to China peers' average; and 2) 15x 27E EPS for optic chips, set at a ~70% discount to global optic chips peers. The discounts reflect Ligent's strong but not dominant market position and early-stage optical chip business ramp. FCC risk would be limited and manageable, in our view, given the company has a factory in the US and the majority of its US business in 2027E would be driven by the JDM business.

Price Performance
(RIC: 9856.HK, BB: 9856 HK)



Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	89	0.119	-58.6	140.0	6.5	4.6	1.0
2025A	876	1.129	848.8	14.8	3.6	31.1	0.4
2026E	1,221	1.361	20.6	12.2	1.8	19.3	3.7
2027E	3,577	3.639	167.3	4.6	1.4	34.7	5.2
2028E	5,342	5.435	49.4	3.1	1.1	40.8	15.3

Source: Powered by dataCentral

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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9856.HK: Fiscal year end 31-Dec

Price: HK$19.60; TP: HK$33.40; Market Cap: HK$19,266m; Recomm: Buy/High Risk

Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E
Sales revenue	5,087	8,355	11,907	29,693	40,489
Cost of sales	-4,204	-6,682	-9,118	-21,811	-28,954
Gross profit	883	1,672	2,789	7,882	11,535
Gross Margin (%)	17.4	20.0	23.4	26.5	28.5
EBITDA (Adj)	**279**	**944**	**1,766**	**4,646**	**6,924**
EBITDA Margin (Adj) (%)	5.5	11.3	14.8	15.6	17.1
Depreciation	-241	-331	-495	-635	-780
Amortisation	-3	-4	-4	-4	-4
EBIT (Adj)	**35**	**608**	**1,267**	**4,007**	**6,140**
EBIT Margin (Adj) (%)	0.7	7.3	10.6	13.5	15.2
Net interest	-56	-47	69	105	75
Associates	55	0	76	66	49
Non-Op/Except/Other Adj	64	361	45	47	32
Pre-tax profit	**98**	**922**	**1,457**	**4,225**	**6,297**
Tax	-9	-49	-219	-634	-944
Extraord./Min.Int./Pref.div.	0	3	-17	-14	-10
Reported net profit	**89**	**876**	**1,221**	**3,577**	**5,342**
Net Margin (%)	1.8	10.5	10.3	12.0	13.2
Core NPAT	89	876	1,221	3,577	5,342

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS (Rmb)	0.119	1.129	1.361	3.639	5.435
Core EPS (Rmb)	0.119	1.129	1.361	3.639	5.435
DPS (Rmb)	0.164	0.063	0.624	0.870	2.547
CFPS (Rmb)	-0.819	1.790	0.601	3.218	2.257
FCFPS (Rmb)	-1.973	1.336	-2.186	1.183	0.222
BVPS (Rmb)	2.564	4.569	9.096	11.866	14.754
Wtd avg ord shares (m)	752	776	897	983	983
Wtd avg diluted shares (m)	752	776	897	983	983

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	20.0	64.2	42.5	149.4	36.4
EBIT (Adj) (%)	-44.2	na	108.2	216.4	53.2
Core NPAT (%)	-58.5	878.7	39.4	192.9	49.4
Core EPS (%)	-58.6	848.8	20.6	167.3	49.4

Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	261	1,274	4,353	4,655	2,365
Accounts receivables	1,984	1,781	2,462	3,564	7,989
Inventory	1,746	2,426	2,436	3,474	8,060
Net fixed & other tangibles	1,465	1,483	3,463	4,835	6,059
Goodwill & intangibles	34	41	37	32	28
Financial & other assets	2,270	738	1,488	1,383	1,203
Total assets	**7,760**	**7,743**	**14,239**	**17,943**	**25,705**
Accounts payable	1,679	2,719	2,589	3,628	8,668
Short-term debt	1,595	0	500	500	500
Long-term debt	1,241	0	500	500	500
Provisions & other liab	1,317	1,266	1,674	1,630	1,523
Total liabilities	**5,832**	**3,985**	**5,263**	**6,258**	**11,191**
Shareholders' equity	1,928	3,705	8,941	11,663	14,502
Minority interests	0	53	35	21	12
Total equity	**1,928**	**3,758**	**8,977**	**11,685**	**14,513**
Net debt (Adj)	**2,574**	**-1,274**	**-3,353**	**-3,655**	**-1,365**
Net debt to equity (Adj) (%)	133.5	-33.9	-37.4	-31.3	-9.4

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	na	14.8	12.2	4.6	3.1
PB (x)	6.5	3.6	1.8	1.4	1.1
EV/EBITDA (x)	63.9	17.9	8.0	2.8	2.0
FCF yield (%)	-11.8	8.0	-13.1	7.1	1.3
Dividend yield (%)	1.0	0.4	3.7	5.2	15.3
Payout ratio (%)	138	6	46	24	47
ROE (%)	4.6	31.1	19.3	34.7	40.8

Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBITDA	279	944	1,766	4,646	6,924
Working capital	564	194	-1,164	-1,039	-3,898
Other	-1,459	250	-63	-444	-807
Operating cashflow	**-616**	**1,388**	**539**	**3,163**	**2,218**
Capex	-867	-352	-2,500	-2,000	-2,000
Net acq/disposals	0	0	0	0	0
Other	171	1,929	25	-6	-4
Investing cashflow	**-696**	**1,578**	**-2,475**	**-2,006**	**-2,004**
Dividends paid	-124	-65	-613	-855	-2,504
Financing cashflow	**1,433**	**-1,949**	**5,015**	**-855**	**-2,504**
Net change in cash	**122**	**1,013**	**3,079**	**302**	**-2,289**
Free cashflow to s/holders	**-1,483**	**1,037**	**-1,961**	**1,163**	**218**

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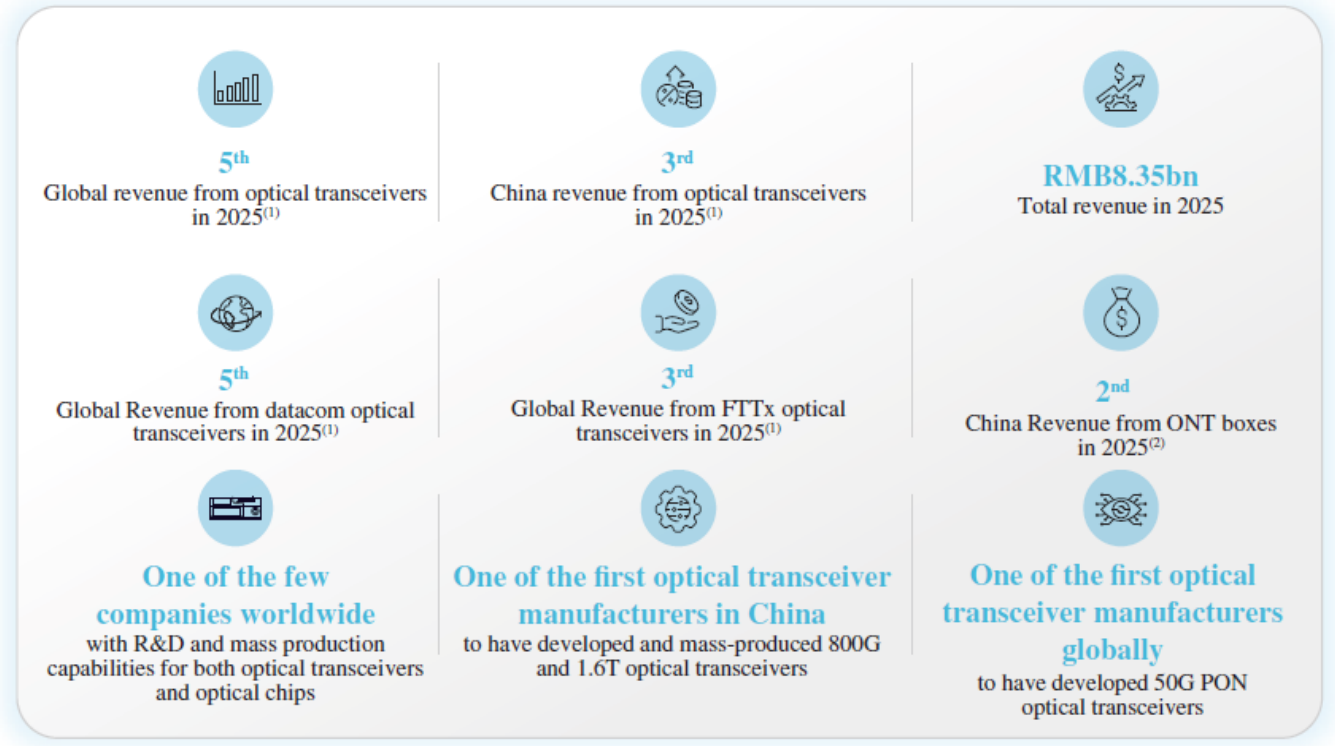
Integrated Optical Interconnect Supplier

Business overview

Ligent is an integrated optical communication and connectivity product provider engaged in the development, manufacture, and sale of optical transceivers, optical chips, and optical network terminals. Founded with over two decades of industry experience, Ligent has established a meaningful presence across key segments of the optical communication value chain, serving cloud service providers, telecom and network equipment vendors, and operators worldwide.

In 2025, Ligent ranked **fifth globally in revenue from optical transceivers** (4.0% market share) and **third in China** (10.1% market share) among all specialized optical transceiver manufacturers, according to Frost & Sullivan. Within specific product segments, Ligent ranked **third globally in FTTx optical transceivers** (5.4% market share) and **fifth globally in datacom optical transceivers** (4.7% market share). Ligent is also among the few companies worldwide with R&D and mass production capabilities for both optical transceivers and optical chips — a differentiated position that underpins its competitive strategy.

Figure 1. Ligent – Market Position and Key Competitiveness

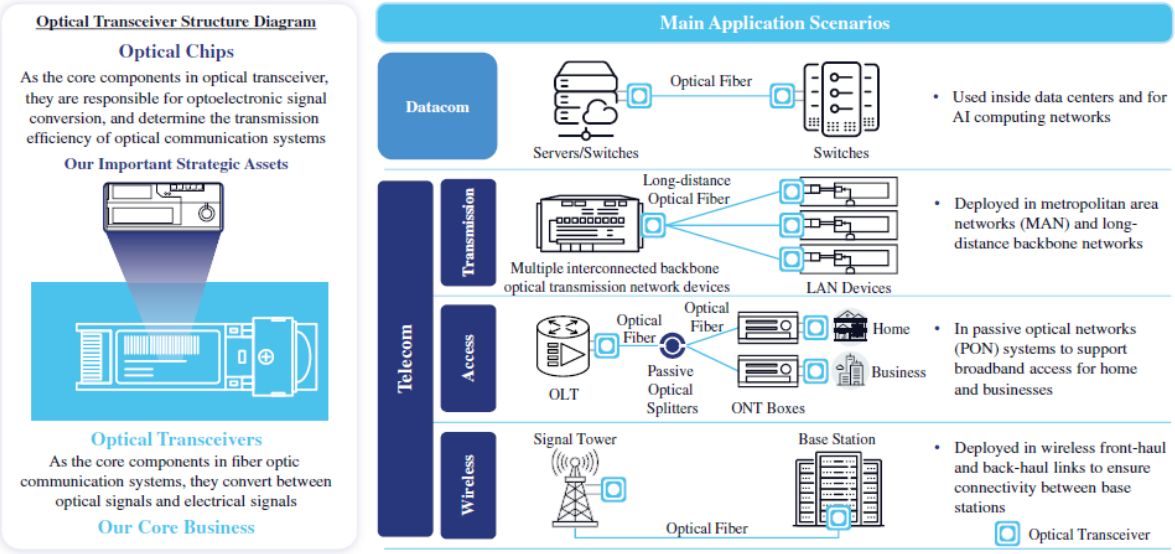


Source: Company Reports, Frost & Sullivan

Product portfolio: three key categories

Ligent's comprehensive product matrix spans three key categories that collectively cover the optical communication value chain: **optical transceivers**, **optical chips**, and **optical network terminals.**

Figure 2. Ligent – Product Matrix



Source: Company Reports

Optical Transceivers — core business

Optical transceivers represent Ligent's primary revenue engine, accounting for 78.2% / 79.3% of total revenue in 2025/1H26, up from 64.6% in 2023. Growth has been driven predominantly by the datacom segment, which accounted for 65.5% / 69.4% of total revenue in 2025/1H26 (vs. 24.9% in 2023), reflecting Ligent's successful pivot toward high-rate AI-oriented products.

Datacom transceivers: Ligent is one of the first optical transceiver manufacturers in China to have developed and mass-produced 800G optical transceivers, and the company has commercialized 1.6T product in 2H26. The company's 1.6T LPO optical transceivers achieve power consumption as low as 10 watts, representing a ~60% reduction compared with conventional DSP-based designs. Ligent is also actively researching next-generation 3.2T optical transceivers and 6.4T optical engines.

Telecom transceivers: For FTTx applications, Ligent is one of the first manufacturers worldwide to have developed and mass-produced 10G PON optical transceivers and has delivered 50G PON product samples for customer validation, with n expected by end-2026. The company supports multi-generation PON coexistence and has a broad portfolio covering 5G front-, middle-, and back-haul networks.

Figure 3. Ligent – Major Advanced Datacom Transceivers

Products	Features
Commercialized	
400G Series(1)  *400G QSFP112 DR4*	We offer 400G optical transceivers in the form factors of QSFP-DD, OSFP and QSFP112, which support the transmission of 8×50G 4-level pulse amplitude modulation (PAM4) and 4×100G PAM4 modulated signals, respectively. We offer 400G optical transceivers with various configurations, such as VR4, SR4, DR4, FR4 and LR4*.
800G Series(1)  *800G OSFP SR8*	We offer 800G optical transceivers in the form factors of OSFP and QSFP112-DD, which support the transmission of 8×100G PAM4 modulated signals. We offer 800G optical transceivers with various configurations, such as 2xVR4, VR8, SR8, 2xDR4, DR8, 2xFR4 and 2xLR4*. We offer 800G optical transceivers in three primary architectural approaches — full DSP, LPO and LRO.
1.6T Series(1)  *1.6T OSFP 2×DR4*	We offer 1.6T optical transceivers in the form factor of OSFP, which will support the transmission of 8×200G PAM4 modulated signals with various configurations, such as 2xDR4 and 2xFR4. We offer 1.6T optical transceivers in three primary architectural approaches — full DSP, LPO and LRO.
 *ELSFP*	We offer ELSFP (external laser small form-factor pluggable) modules, which are core components enabling the large-scale commercialization of CPO/NPO optics, and serve as critical infrastructure for AI computing and high-performance optical interconnect upgrades.
Under development	
 *3.2T/6.4T NPO*	We are developing SiPh-based 3.2T NPO optical engines featuring dual 36-channel fiber array units equipped with MPO/MT (multi-fiber push-on and mechanically transferable) connector receptacles. We had delivered 3.2T NPO samples for customer validation as of the Latest Practicable Date. We are developing 6.4T NPO optical engines, which will support the transmission of 32×200G PAM4 modulated signals. We expect to deliver the sample products in the first half of 2027.
 *12.8T XPO*	We are developing the next-generation 12.8T XPO (eXtra-dense pluggable optics) high-density, high-speed optical transceivers jointly with our customers, which will support the transmission of 64×200G PAM4 modulated signals with expected power consumption of less than 80 watt. We are on track to achieve commercial viability by 2027.

Notes:

* Standard names for transmission distance of optical transceivers which are generally adopted in the industry. For example, VR stands for very short reach of 50 meters, SR stands for short reach of 100 meters, FR stands for far reach of 2 kilometers, DR stands for data reach of 500 meters, and LR stands for long reach of 10 kilometers.

(1) A representative product in the relevant series.

Source: Company Reports

Optical Chips — strategic asset

Optical chips are a critical enabler of Ligent's differentiation. As one of the few companies globally with in-house R&D and mass production capabilities for optical chips, Ligent can secure supply-chain resilience, maintain pricing competitiveness, and improve product iteration speed.

The company has developed 100G EML laser chips and is currently developing 200G EML laser chips and 400G InP laser chips. The company believes these products lay a solid foundation for expansion into high-end datacom transceivers. Meanwhile, Ligent is one of the first manufacturers in China to have developed and mass-produced 10G EML laser chips. The company is also developing 50G EML laser chips. Both of these EML chips are for PON optical transceivers targeting the FTTx market.

Optical Network Terminals — broadband and edge

Optical network terminals (ONT) contributed 21.4% / 19.1% of revenue in 2025/1H26. Ligent's ONT offering covers broadband access products (ONT boxes), Wi-Fi coverage products, and multimedia terminals, with delivery volume growing meaningfully — ONT box shipments reached 20.8/11.5 million units in 2025/1H26. The company is also jointly developing an FTTR+X gateway embedded with AI computing functions, positioning it to capture emerging edge-computing opportunities.

Customer base and commercial strategy

Ligent serves a diversified global customer base, with the top-5 customers contributing 70.2% / 71.8% of revenue in 2025/1H26. Key customers include major Chinese cloud service providers, leading global telecom and network equipment vendors, and China's major telecom operators.

Revenue is primarily generated through a direct sales model, supplemented by a limited network of authorized distributors (accounting for less than 4% of revenue in each year). Customer onboarding typically requires a rigorous pre-validation process covering qualifications, manufacturing capacity, and quality controls — creating meaningful barriers to entry and contributing to customer stickiness.

Ligent adopts a joint development model with key customers for customized products, enabling co-development of technology roadmaps and deepening long-term relationships. The company plans to expand its overseas customer base, with particular focus on North America, Europe, and, prospectively, the Middle East.

Figure 4. Ligent – Top Customers Revenue (2023-1H26)

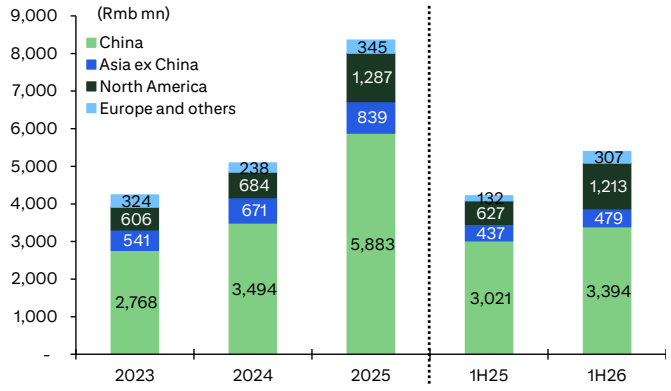
Customer	2023	2024	2025	1H26
Revenue (Rmb mn)				
Customer A	1,360	1,196	1,714	980
Customer B	343	n.a	n.a	n.a
Customer C	260	488	853	1,134
Customer D	209	n.a	330	271
Customer E	196	n.a	n.a	n.a
Customer F	n.a	1,034	1,819	1,046
Customer G	n.a	427	1,154	445
Customer H	n.a	256	n.a	n.a
Top 5 Customers	**2,367**	**3,401**	**5,869**	**3,875**
Revenue as of total				
Customer A	32.1%	23.5%	20.5%	18.2%
Customer B	8.1%			
Customer C	6.1%	9.6%	10.2%	21.0%
Customer D	4.9%		3.9%	5.0%
Customer E	4.6%			
Customer F		20.3%	21.8%	19.4%
Customer G		8.4%	13.8%	8.2%
Customer H		5.0%		
Top 5 Customers	**55.8%**	**66.9%**	**70.2%**	**71.8%**

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Source: Company Reports, Citi Research

China remains Ligent's largest and most established market, accounting for 70.4% / 62.9% of total revenue in 2025/1H26, up from 65.3% in 2023 — reflecting the rapid scaling of domestic AI infrastructure investment and the company's entrenched relationships with leading Chinese cloud and telecom customers. Beyond China, Ligent has built meaningful international exposure across multiple geographies. North America (mainly the US) has emerged as the single largest overseas market, contributing 15.4% / 22.5% of revenue in 2025/1H26, up from 12.8% in 2023, underpinned by stable relationships with leading global cloud service providers and network equipment vendors. The rest of Asia (mainly including Singapore and Malaysia) accounted for a further 10.0% / 8.9% in 2025/1H26, while Europe (mainly including Finland and Ireland) and other markets contributed 4.1% / 5.7% in 2025/1H26. In aggregate, revenues from outside China represented approximately 29.6% / 37.1% of total revenue in 2025/1H26, demonstrating that while Ligent's business is anchored domestically, it has developed a credible and growing international customer base. To sustain this trajectory, the company is expanding production capacity in Thailand and the United States, strengthening its overseas sales force, and establishing integrated overseas R&D and marketing platforms.

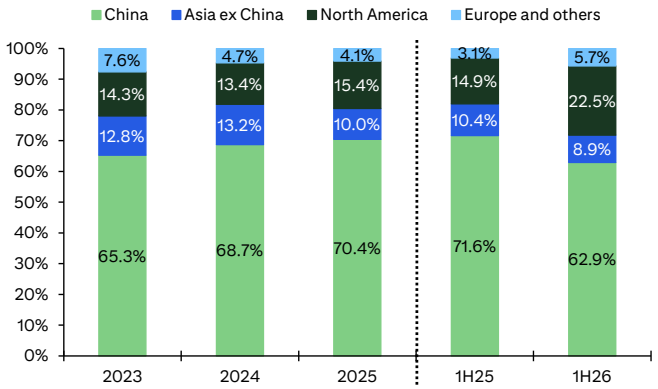
Figure 5. Ligent – Revenue by Geographical Market: China Dominated



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Source: Company Reports, Citi Research

Figure 6. Ligent – Revenue Contribution % by Geographical Market



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Source: Company Reports, Citi Research

Manufacturing and production capacity

Ligent operates four production facilities across China (Qingdao and Jiangmen), Thailand, and the United States (New Jersey), with a combined GFA exceeding 100,000 sq.m. In 2025, designed production capacity reached approximately 27.2 million units for optical transceivers, 12.2 million units for optical chips, and 28.3 million units for optical network terminals. In 1H26, designed production capacity for the first six months was ~15.2 million units for optical transceivers, 18.2 million units for optical chips, and 14.2 million units for optical network terminals. Annualized designed production capacity for optical transceivers at the Qingdao facility declined in 1H26 because company has been upgrading and retrofitting equipment to replace old production lines for low-speed products with those for higher-speed products.

Figure 7. Ligent – Production Facilities (capacity in the period, not annualized)

Ligent's Production Plants	2023	2024	2025	1H26
Optical transceivers				
Designed production capacity (k units)	**23,163**	**19,719**	**27,169**	**15,190**
Qingdao	8,067	4,597	6,188	2,562
Jiangmen	13,159	13,183	17,140	9,405
Thailand	1,937	1,921	3,810	3,192
New Jersey	-	18	31	31
Actual production volume (k units)	**14,121**	**16,009**	**21,490**	**11,101**
Qingdao	4,963	3,502	4,703	1,681
Jiangmen	8,440	11,189	14,299	7,176
Thailand	718	1,311	2,478	2,220
New Jersey	-	7	10	24
Utilization rate (%)	***61.0%***	***81.2%***	***79.1%***	***73.1%***
Qingdao	*61.5%*	*76.2%*	*76.0%*	*65.6%*
Jiangmen	*64.1%*	*84.9%*	*83.4%*	*76.3%*
Thailand	*37.1%*	*68.3%*	*65.0%*	*69.5%*
New Jersey	*0.0%*	*40.3%*	*32.8%*	*77.4%*
Optical chips				
Designed production capacity (k units)	21,219	20,385	12,193	18,186
Actual production volume (k units)	14,470	8,708	8,802	17,117
Utilization rate (%)	*68.2%*	*42.7%*	*72.2%*	*94.1%*
Optical network terminals (Jiangmen)				
Designed production capacity (k units)	18,125	24,093	28,296	14,213
Actual production volume (k units)	13,863	17,838	20,539	10,787
Utilization rate (%)	*76.5%*	*74.0%*	*72.6%*	*75.9%*

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Source: Company Reports, Citi Research

The Jiangmen facility, Ligent's largest, achieved an optical transceiver utilization rate of 83.4% / 76.3% in 2025/1H26. The Thailand facility is being actively expanded — Phase 1 of Thailand Facility A commenced commercial operations in 2Q26, while Facility B is expected to commence commercial production by end-2027. The expanded US facility is expected to be operational by end-2026, with a focus on high-end optical transceivers products (such as 800G, and 1.6T) for US customers. A new Xiamen facility focused on high-end laser chips is expected to commence commercial operations in 2027.

Ligent's manufacturing capabilities are characterized by high automation and AI-empowered quality inspection. The company's proprietary Hi-Test platform enables dynamic resource allocation across testing systems, achieving defect detection accuracy of over 97%. Full digitalization across production steps is managed through a central Manufacturing Execution System (MES).

Technology and R&D

Ligent's competitive position is grounded in sustained R&D investment. R&D expenditure reached RMB553mn / Rmb623mn / Rmb664mn / Rmb320mn in 2023/24/25/1H26 (accounting for 13.1% / 12.3% / 7.9% / 5.9% of total revenue), with R&D expenses as a percentage of revenue among the highest in the sector for Chinese optical communication manufacturers in 2024, according to Frost & Sullivan.

The company's R&D network spans four centers — in Qingdao, Wuhan, Silicon Valley, and Singapore (established early 2026) — and is staffed by over 950 R&D personnel as of June 30, 2026, representing approximately 77% of total non-manufacturing headcount. Approximately 41.7% hold master's or doctoral degrees, and the 100 core R&D staff average around 20 years of industry experience.

Key technology capabilities include:

- **LPO:** Ligent is one of the first manufacturers in China to have developed and mass-produced 800G and 1.6T SiPh-based LPO optical transceivers.
- **Optical packaging:** Include (1) TO-CAN packaging; (2) BOX packaging; (3) COB packaging; (4) SiPh-based packaging technology.
- **Optical chip manufacturing:** Full coverage of the chip manufacturing process, from epitaxial growth to grating formation, etching, metallization, film deposition, automated testing, radio frequency testing and reliability testing.

NPO/CPO research: Active research ongoing to introduce products supporting 3.2T and 6.4T data rates.

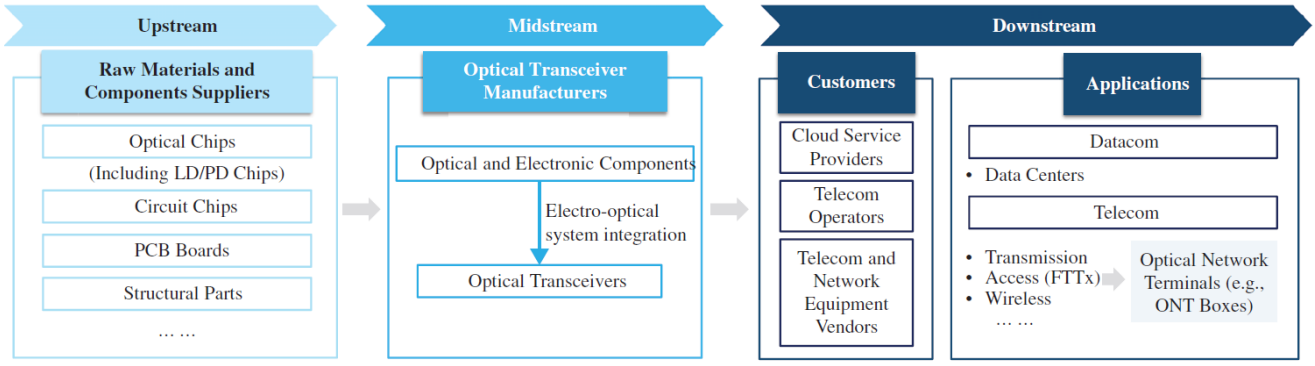
Industry Overview & Outlook

Optical communication as the backbone of digital infrastructure

Optical communication — the transmission of information using light waves over optical fiber — is the dominant mode of high-speed data exchange underpinning modern digital infrastructure. The industry is entering a period of accelerated structural growth, driven by AI, cloud computing, and the exponential expansion of data center capacity. According to Frost & Sullivan, by 2030E, global AI infrastructure investment is projected to further increase to Rmb6,526.5bn, with a CAGR of 22.2% from 2025 to 2030E. These structural tailwinds reinforce the critical and growing importance of optical communication technology as the connective tissue of next-generation intelligent infrastructure.

The core products of the optical communication industry include optical chips, optical transceivers, and optical network terminals, which together form an integrated value chain supporting high-performance optical connectivity. Among them, optical transceivers play a central role, enabling high-rate, high-reliability, and low-latency data transmission across increasingly complex datacom and telecom networks.

Figure 8. Optical Communication Industry – Value Chain



Source: Company Reports, Frost & Sullivan

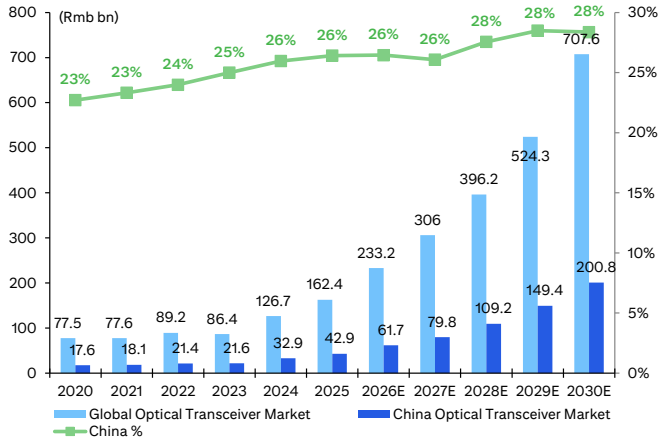
Optical transceivers market: accelerating on AI demand

According to Frost & Sullivan, the global optical transceiver market grew from Rmb77.6bn in 2021 to Rmb162.4bn in 2025 at a CAGR of 20.3%. The market experienced a temporary setback in 2023 due to an industry-wide destocking cycle following elevated COVID-era stockpiling by cloud service providers and telecom operators. Despite this cyclical interruption, the structural growth outlook remains compelling, according to F&S: the global optical transceiver market is projected by F&S to reach Rmb707.6bn by 2030E, representing a CAGR of 34.2% from 2025.

Within China, the optical transceiver market expanded from Rmb18.1bn in 2021 to Rmb42.9bn in 2025 at a CAGR of 24.0%, and is forecast by Frost & Sullivan to reach Rmb200.8bn by 2030E at a CAGR of 36.1%. China's share of the global market stood at 26.4% in 2025 and is projected to approach 28.4% by 2030E.

The optical transceiver for datacom is the primary growth engine. According to LightCounting and Frost & Sullivan, datacom optical transceiver revenue reached Rmb115.5bn in 2025, driven by rapid data center expansion and AI advancement, and is forecast to grow to Rmb633.6bn by 2030E at a CAGR of 40.5%.
The telecom segment reached Rmb46.9bn in 2025. Although it experienced modest declines in 2023 due to post-pandemic demand normalization, it is expected to recover, supported by 6G rollout and next-generation PON deployment, reaching a forecast Rmb73.9bn by 2030E at a CAGR of 9.5%.

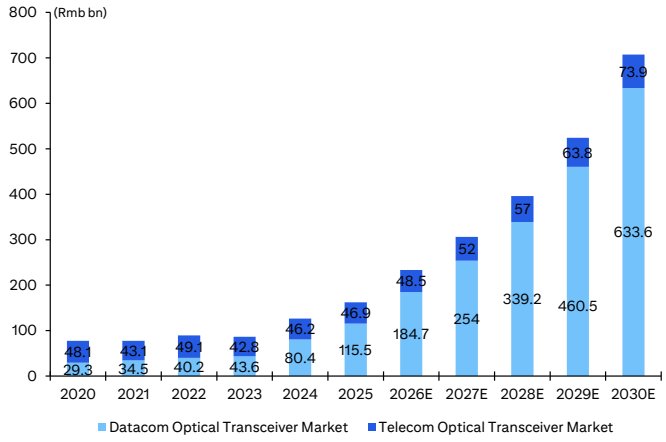
Figure 9. Optical Transceiver Revenue – Global and China



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Source: LightCounting, Frost & Sullivan, Citi Research

Figure 10. Global Optical Transceiver Revenue by Datacom and Telecom

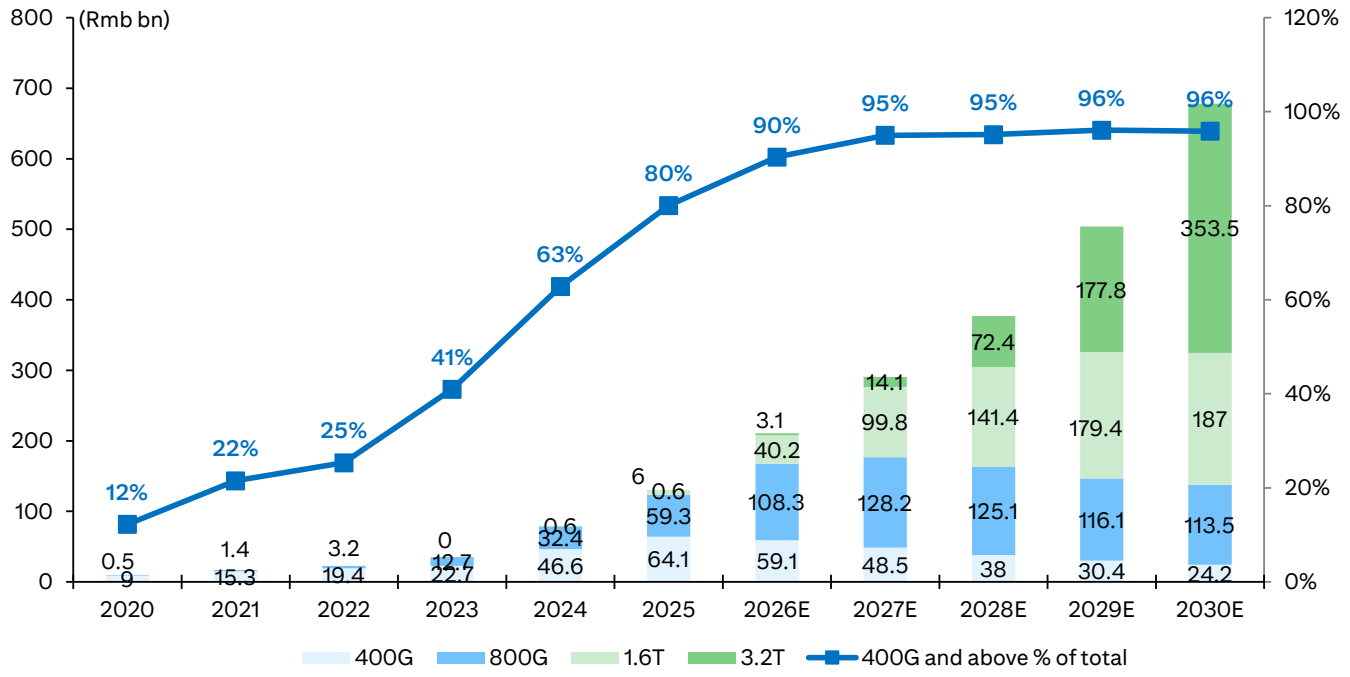


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Source: LightCounting, Frost & Sullivan, Citi Research

The product mix within optical transceivers is undergoing a decisive shift toward higher data rates. 400G and above transceivers are becoming the mainstream. According to LightCounting and Frost & Sullivan, the 800G segment achieved an exceptional CAGR of 156.3% from 2021 to 2025 and is forecast to grow at 13.9% from 2025 to 2030E. The 1.6T segment — representing the next generation — is forecast to grow at a CAGR of 98.9% from 2025 to 2030E, with mass adoption forecast to begin in 2026. 3.2T technology, while still in early R&D, is already beginning to emerge on the horizon.

Figure 11. Optical Transceiver Revenue – 400G and Above

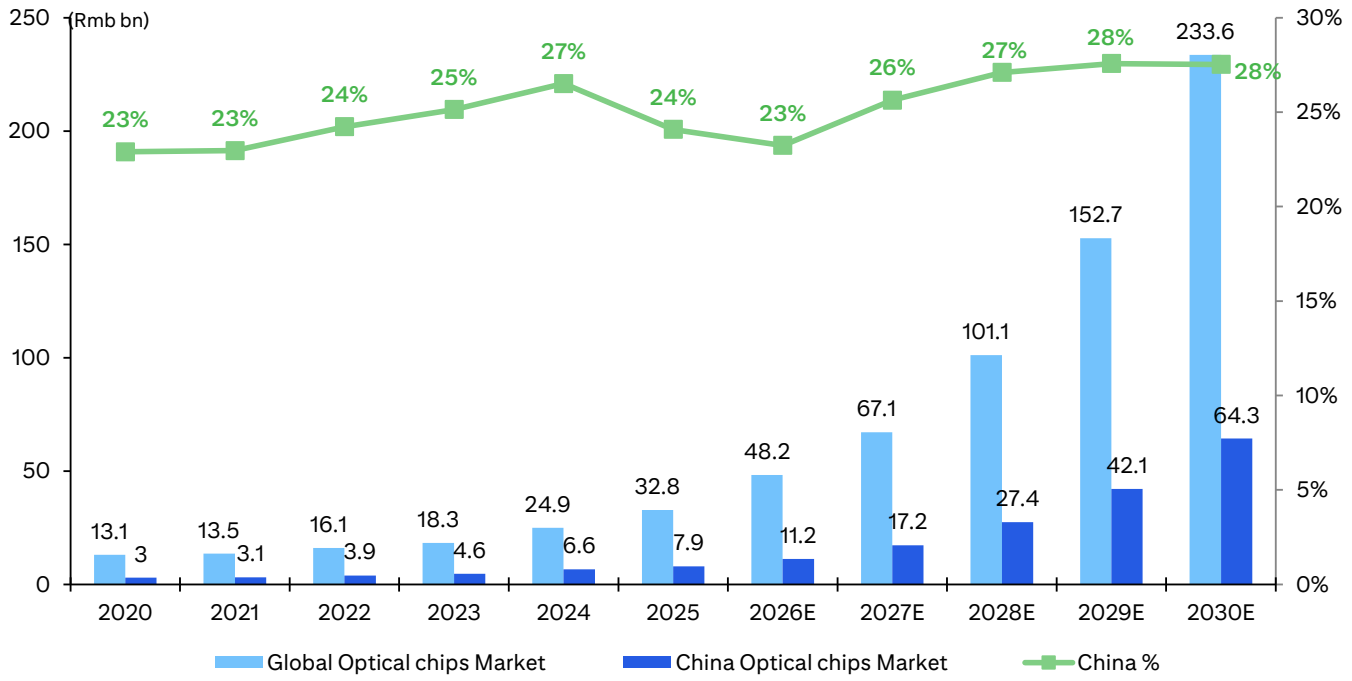


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Source: LightCounting, Frost & Sullivan, Citi Research

Optical chips market

According to LightCounting and Frost & Sullivan, the global optical chip market grew from Rmb13.5bn in 2021 to Rmb32.8bn in 2025 at a CAGR of 24.8%, driven by AI, 5G, and cloud adoption. It is projected to reach Rmb233.6bn by 2030E at a CAGR of 48.1%. In China, the optical chip market expanded from Rmb3.1bn in 2021 to Rmb7.9bn in 2025 at a CAGR of 25.8%, and is forecast to reach Rmb64.3bn by 2030E at a CAGR of 52.2% — the fastest-growing segment within the optical communication core products value chain.

Figure 12. Optical Chips Revenue – Global and China



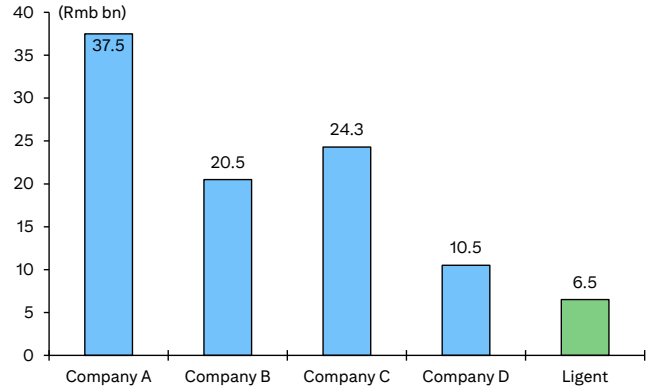
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Competitive landscape

Ligent a credible challenger in a consolidating market

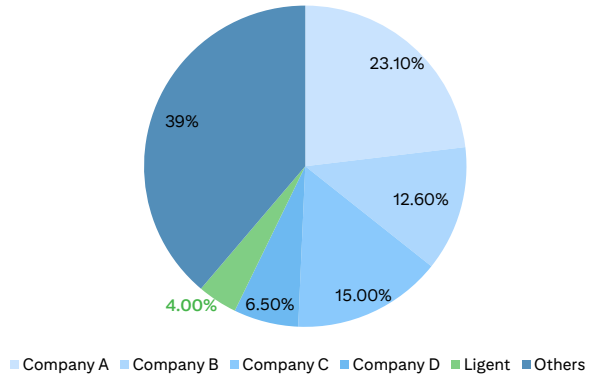
The global optical transceiver market is fragmented but increasingly concentrated at the top. According to Frost & Sullivan, the top-5 specialized optical transceiver manufacturers held a combined global market share of 61.1% in 2025 by revenue. Ligent ranked fifth globally with revenue of Rmb6.5bn and a market share of 4.0%. In the China optical transceiver market, which reached Rmb42.9bn in 2025, Ligent ranked third with revenue of Rmb4.4bn and a market share of 10.1%.

Figure 13. Global Optical Transceiver Ranking by Revenue (2025)



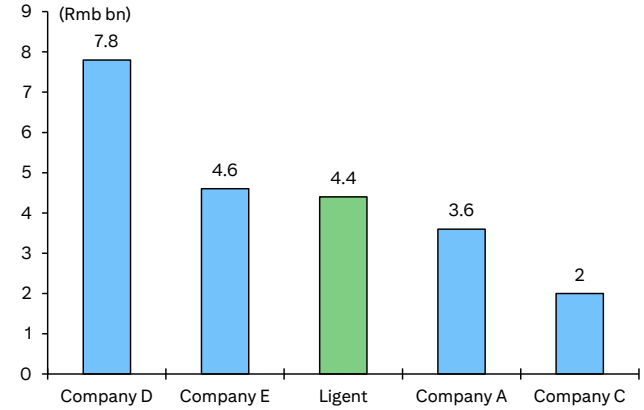
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Source: Company Reports, Frost & Sullivan, Citi Research

Figure 14. Global Optical Transceiver Market Share by Revenue (2025)



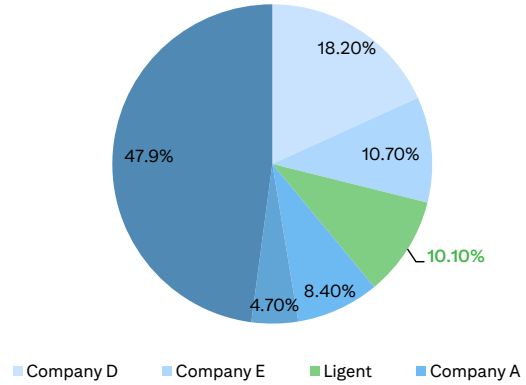
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Figure 15. China Optical Transceiver Ranking by Revenue (2025)



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Figure 16. China Optical Transceiver Market Share by Revenue (2025)



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Potential FCC restriction implications

The FCC regulatory risk to China's optical transceiver industry remains a policy overhang rather than an active restriction: no enacted FCC rule currently bars Chinese optical module imports, but regulatory architecture (FCC 26-50) and a targeted Senate bill signal the direction of future risk, concentrated mainly on next-generation 3.2T products from 2028 onward.

- **Current regulatory status:** FCC 26-50's Third Report and Order cleared the Federal Register on 11-Sep-2026 as a procedural step (compliance clock trigger only); it bifurcates the Covered List into producer-based and production-location-based categories, but no enacted rule restricts Chinese optical module exports, and optical transceivers appear only as a passing illustrative example in proposed BOM-disclosure requirements, not as a restricted product category.

- **Legislative track distinct from FCC:** On 25-Sep-2026, four US senators introduced the "Securing National Security Systems from Chinese Optical Transceivers Act", a targeted restriction limited to National Security Systems procurement (military command/control, intelligence, classified systems) — not a blanket ban on commercial data centers or AI infrastructure, where the vast majority of sector revenue is generated.

- **Potential BOM/content mechanism:** Investor and industry discussion centers on a possible future requirement that a defined share of value-content in next-generation 3.2T optical modules (DSP, photodiode, EML/CW laser chips) originate from the US or US-partner sources; electrical and optical chips/modules account for ~70% of transceiver BOM, and a ~65% US-content threshold has been discussed as an illustrative workaround scenario, though unconfirmed by any customer requests.

- **Volume/timing impact:** 3.2T transceiver shipments are forecast to begin only in small volumes in 2027E, ramping in 2028E, with meaningful industry volumes more likely from 2029E onward; 1.6T is expected to remain the dominant shipment generation through 2028E, meaning near-term (2026-27) financial impact from any 3.2T-specific restriction is expected to be limited.

- **Structural insulation factors for the sector:** Chinese vendors supply 60-70% of high-speed optical modules to major US cloud service providers (CSPs), a share near-term alternatives cannot readily replace given existing supply tightness; several leading module makers have already built overseas (Thailand) manufacturing capacity, which the research flags as a mitigant to a potential production-location-based restriction approach. We believe US AIDC requires Chinese suppliers to ramp the production capacity to fulfill the strong demand given the AI models racing among US CSPs and independent LLMs providers.

We see limited near-term FCC-related earnings risk for Ligent, given the absence of an active restriction and the company's ability to serve US customers through its Thailand facility. However, the potential impact is asymmetric across its businesses. A production-location requirement should be relatively manageable for optical transceivers, in our view, while a stricter requirement for key optical components to be sourced from the US or approved countries could constrain Ligent's optical-chip expansion. This is particularly relevant as the company is scaling external sales of CW-DFB and EML chips and developing higher-end products for next-generation 3.2T applications.

Ligent's New Jersey manufacturing facility offers some mitigation, but its effectiveness will depend on whether future rules recognize US-made components that undergo further processing in China as US-origin. Overall, we expect limited impact on existing 800G/1.6T module revenue but see a potentially greater risk to the overseas TAM and vertical-integration benefits of Ligent's optical-chip business from 2028 onward. We also see limited and manageable impact to its majority US business in 2027E as it is driven by JDM business from a US customer.

Figure 17. FCC potential impact on Ligent's business

Business area	Potential impact	Key consideration
Existing 800G/1.6T transceivers	**Low near-term risk**	No active restriction currently applies, while Ligent's Thailand facility already serves most of its US orders.
Future 3.2T transceivers	**Moderate risk**	Next-generation products could face stricter BOM traceability and component-origin requirements.
Optical chips for internal use	**Moderate risk**	Ligent may need to use third-party compliant chips for US-bound modules, weakening its cost and supply-chain advantages from vertical integration.
External optical-chip sales	**Moderate-to-high risk**	Potential US-origin requirements could limit the addressable market for Ligent's China-processed CW-DFB and EML chips, particularly among US CSPs and their module suppliers.
New Jersey manufacture facility	**Potential mitigation**	The US facility supplies laser wafers to the group, but further processing is currently conducted in China; qualification will depend on how future rules define origin and applicable production stages.

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Financial Analysis

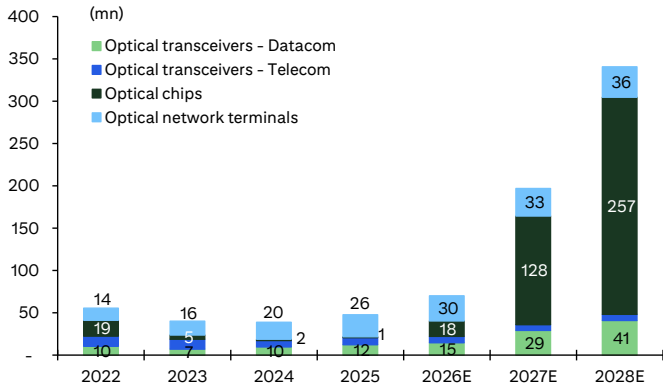
Revenues, volumes, and ASPs

We expect the company's product shipments to expand, driven by datacom optical transceiver volume growth. Datacom transceiver shipments reached 7mn / 10mn / 12mn / 8mn units in 2023/24/25/1H26, reflecting early-stage AI infrastructure build-out. We forecast datacom shipments will accelerate to 14.7mn / 29.3mn / 41.1mn units in 2026E/27E/28E, representing YoY growth of approximately 20% / 100% / 40% respectively, as 800G and 1.6T products scale across global hyperscale and cloud customers. Optical network terminal shipments are forecast to grow steadily from 26mn units in 2025 to 35.8mn units in 2028E, while telecom transceivers and optical chips remain modest contributors in volume terms.

ASP trends across product segments are divergent, reflecting the fundamental shift in product mix towards higher-rate, higher-value datacom transceivers. Telecom transceiver ASPs have remained broadly stable, recording Rmb144 / Rmb119 / Rmb127 in 2023/24/25, and are projected to recover modestly to Rmb134 / Rmb140 / Rmb147 in 2026E/27E/28E, consistent with a commoditizing, mature market segment.

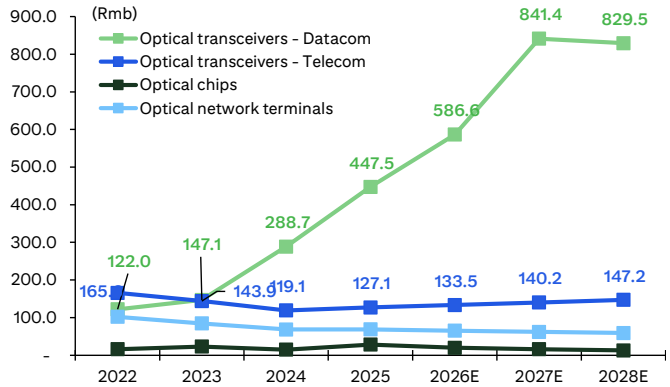
By contrast, datacom transceiver ASPs have undergone a sharp and structural re-rating upward, reaching Rmb147 / Rmb289 / Rmb447 in 2023/24/25. We forecast datacom ASPs will continue expanding to Rmb587 / Rmb841 / Rmb830 in 2026E/27E/28E, as 800G and 1.6T products — commanding significantly higher prices than legacy 100G or 400G offerings — constitute a growing share of the mix. Optical chip and optical network terminal ASPs remain at the lower end of the range and are expected to stay broadly flat, consistent with volume-driven, cost-competitive categories. The combination of rapidly rising datacom shipment volumes and sharply expanding datacom ASPs is the primary engine of Ligent's revenue acceleration from 2024 onwards.

Figure 18. Ligent – Optical Transceiver Shipments Surge on AI-Driven Datacom Demand



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Figure 19. Ligent – Datacom Transceiver ASP Premium Widens

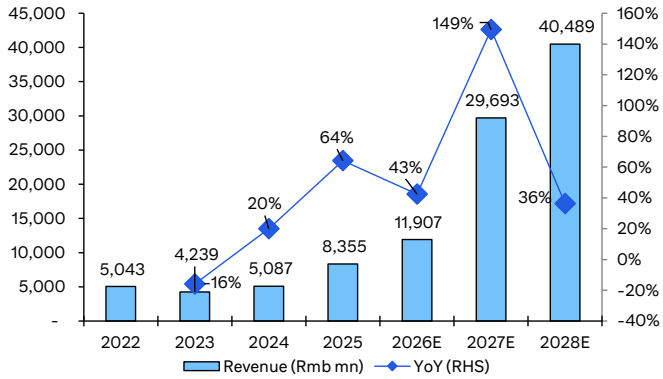


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The company's revenue reached Rmb4,239mn / Rmb5,087mn / Rmb8,355mn / Rmb5,393mn in 2023/24/25/1H26, with YoY changes of -16% / +20% / +64% / +27.9% respectively. The 2023 decline reflected a period of telecom demand softness and optical chip revenue contraction, while recovery commenced in 2024 driven by early datacom momentum before a step-change acceleration in 2025 as AI-related datacom transceiver demand materialized at scale.

We forecast revenue will grow by 43% / 149% / 36% YoY to Rmb11,907mn / Rmb29,693mn / Rmb40,489mn in 2026E/27E/28E respectively. The exceptional 149% growth projected for 2027E reflects the convergence of rapid volume scale-up, 1.6T product n, and broadening of the global customer base. At the 2028E revenue level, Ligent's revenue would represent approximately an over 8x increase versus its 2023 trough, demonstrating the scale of the market opportunity the company is positioned to capture.

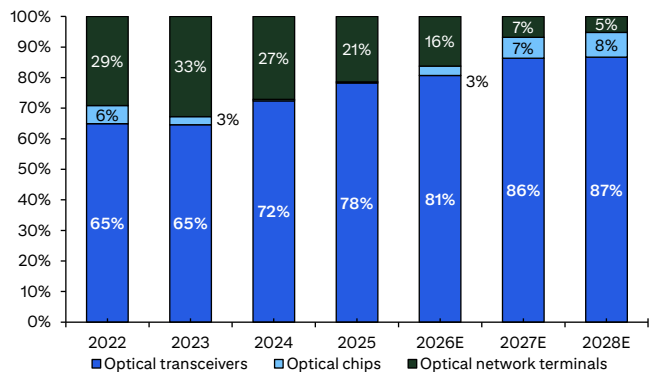
Figure 20. Ligent – Revenue Delivers Strong Compound Growth



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Source: Company Reports and Citi Research Estimates

Figure 21. Ligent – Optical Transceivers Consolidate Dominance



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Optical transceivers accounted for 65% / 72% / 78% / 79% of total revenue in 2023/24/25/1H26, with optical network terminals contributing 33% / 27% / 21% /19% over the same period, and optical chips remaining at a marginal 1–2%.

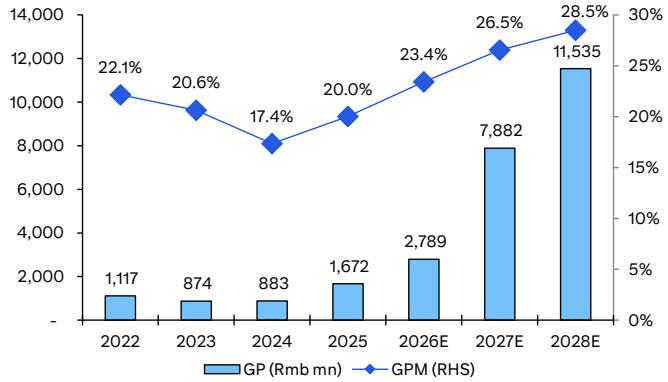
We forecast the optical transceiver contribution will increase further to 81% / 86% / 87% of total revenue in 2026E/27E/28E, optical chips will increase to 3% / 7% / 8%, while optical network terminals are expected to compress to approximately 16% / 7% / 5% of revenue over the same period in proportional terms. The evolving mix underscores both the magnitude of the AI infrastructure opportunity and the strategic repositioning of Ligent's portfolio toward high-value, high-growth datacom connectivity solutions.

Margins expansion underway

The company's gross profit reached Rmb874mn / Rmb883mn / Rmb1,672mn / Rmb1,306mn in 2023/24/25/1H26, with GPM of 20.6% / 17.4% / 20.0% / 24.2% respectively. We forecast gross profit will grow to Rmb2,789mn / Rmb7,882mn / Rmb11,535mn in 2026E/27E/28E, with GPM expanding to 23.4% / 26.5% / 28.5% respectively. The margin expansion is driven by the growing proportion of 800G and 1.6T products — which carry higher ASPs and improving per-unit economics —

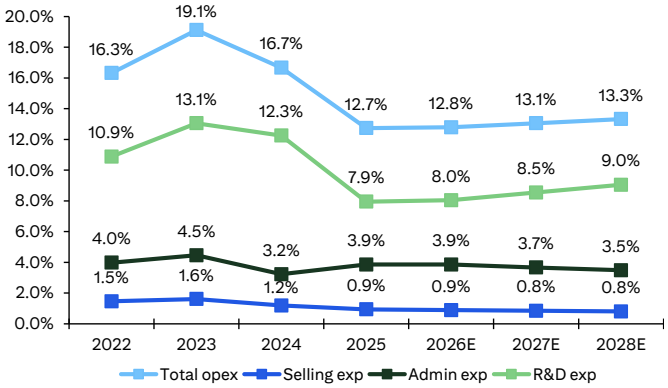
combined with manufacturing scale benefits across the company's global production footprint.

Figure 22. Ligent – Gross Margin Expands as High-Rate Datacom Products Scale



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Figure 23. Ligent – Opex Ratio Declined Steadily on Improving Operating Leverage



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Total opex as a percentage of revenue peaked at 19.1% in 2023, partially reflecting the impact of lower revenue in that year, before declining to 16.7% / 12.7% / 9.8% in 2024/25/1H26 as the revenue base expanded. R&D expense as a percentage of revenue moderated from 13.1% in 2023 to 12.3% / 7.9% / 5.9% in 2024/25/1H26.

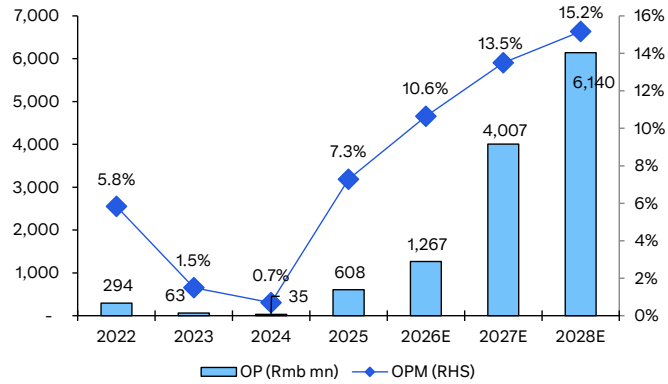
We forecast the total opex ratio will stabilize at approximately 12.8% / 13.1% / 13.3% in 2026E/27E/28E, with R&D expense modestly increasing to 8.0% / 8.5% / 9.0% of revenue over the same period while selling & admin expenses should drop slightly, indicating the consistent operating leverage as revenues scale.

Profits inflection begins

Operating profit reached Rmb63mn / Rmb35mn / Rmb608mn / Rmb776mn in 2023/24/25/1H26, with operating profit margins of 1.5% / 0.7% / 7.3% / 14.4% respectively. We forecast operating profit will grow to Rmb1,267mn / Rmb4,007mn / Rmb6,140mn in 2026E/27E/28E, with OPM expanding to 10.6% / 13.5% / 15.2% respectively.

Net profit reached Rmb216mn / Rmb89mn / Rmb876mn / Rmb656 mn in 2023/24/25/1H26, with net profit margins of 5.1% / 1.8% / 10.4% / 12.2% respectively. The earnings trough in 2023–2024 reflected a convergence of revenue softness, elevated investment spend, and product transition costs, before the recovery in 2025 as the high-rate datacom ramp began to generate meaningful earnings contribution. We forecast net profit will grow by 39% / 193% / 49% YoY to Rmb1,221mn / Rmb3,577mn / Rmb5,342mn in 2026E/27E/28E, with net margins reaching 10.3% / 12.0% / 13.2% respectively. The sustained margin expansion from 2025 onwards reflects the compounding benefit of richer product mix, manufacturing scale, and opex operating leverage.

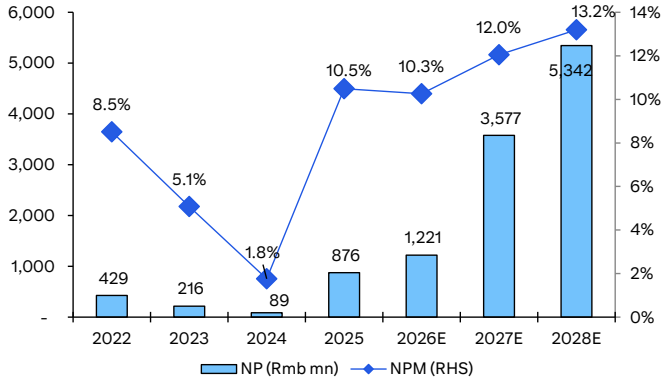
Figure 24. Ligent – Operating Profit Inflects as Revenue Scale



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Figure 25. Ligent – Net Profit Margin Expansion Accelerates



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Financial statements

Figure 26. Ligent – Income Statement

(RMB$ in Mn, year-end Dec)	2023	2024	2025	2026E	2027E	2028E
Revenue	**4,239**	**5,087**	**8,355**	**11,907**	**29,693**	**40,489**
Optical transceivers	2,737	3,682	6,535	9,610	25,632	35,112
Optical chips	112	24	29	365	2,041	3,266
Optical network terminals	1,390	1,381	1,791	1,933	2,020	2,111
COGS	(3,365)	(4,204)	(6,682)	(9,118)	(21,811)	(28,954)
Gross Profit	**874**	**883**	**1,672**	**2,789**	**7,882**	**11,535**
Operating Expense	(811)	(848)	(1,064)	(1,523)	(3,875)	(5,395)
Adm + R&D expenses	(742)	(787)	(986)	(1,417)	(3,625)	(5,071)
Sales expenses	(68)	(60)	(78)	(106)	(250)	(324)
EBIT	**63**	**35**	**608**	**1,267**	**4,007**	**6,140**
Total Non-Op	179	63	313	190	218	157
Pre-Tax Profit	**242**	**98**	**922**	**1,457**	**4,225**	**6,297**
Tax	(27)	(9)	(49)	(219)	(634)	(944)
Minority Interest	0	0	3	(17)	(14)	(10)
Net Profit attributable to owners of the parent	**216**	**89**	**876**	**1,221**	**3,577**	**5,342**
Margins (%)						
Gross Margin	20.6	17.4	20.0	23.4	26.5	28.5
Operating Margin	1.5	0.7	7.3	10.6	13.5	15.2
Net Margin	5.1	1.8	10.4	10.4	12.1	13.2
Sequential Growth (%)						
Revenue	(15.9)	20.0	64.2	42.5	149.4	36.4
Gross Profit	(21.8)	1.1	89.4	66.8	182.6	46.3
EBIT	(78.4)	(44.2)	1,618.5	108.2	216.4	53.2
Net Profit	(49.8)	(58.5)	878.7	39.4	192.9	49.4

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Figure 27. Ligent – Balance Sheet

(RMB$ in Mn, year-end Dec)	2023	2024	2025	2026E	2027E	2028E
Cash and Cash Equivalents	139	261	1,274	4,353	4,655	2,365
Account Receivables	1,191	1,984	1,781	2,462	3,564	7,989
Inventory	1,061	1,746	2,426	2,436	3,474	8,060
Total Other Current Assets	1,803	1,923	738	1,488	1,383	1,203
Total Current Assets	**4,193**	**5,914**	**6,219**	**10,739**	**13,076**	**19,618**
Net Fixed Assets	750	1,318	1,305	1,952	2,503	3,074
Other Long Term Assets	538	528	219	1,548	2,364	3,013
Total Long Term Assets	**1,288**	**1,846**	**1,524**	**3,500**	**4,867**	**6,087**
Total Assets	**5,481**	**7,760**	**7,743**	**14,239**	**17,943**	**25,705**
ST Debt	491	1,595	0	500	500	500
Accounts Payable	1,197	1,679	2,719	2,589	3,628	8,668
Other Current Liabilities	1,086	1,230	546	954	910	803
Total Current Liabilities	**2,774**	**4,504**	**3,265**	**4,043**	**5,038**	**9,971**
Long Term Debt	710	1,241	0	500	500	500
Other Long Term Liabilities	63	88	720	720	720	720
Total Long Term Liabilities	**773**	**1,328**	**720**	**1,220**	**1,220**	**1,220**
Total Equity	**1,934**	**1,928**	**3,758**	**8,977**	**11,685**	**14,513**
Total Liabilities and Equity	**5,481**	**7,760**	**7,743**	**14,239**	**17,943**	**25,705**

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Source: Company Reports and Citi Research Estimates

Figure 28. Ligent – Cash Flow Statement

(RMB$ in Mn, year-end Dec)	2023	2024	2025	2026E	2027E	2028E
Net Income	216	89	876	1,221	3,577	5,342
Depreciation and Amortization	180	241	331	495	635	780
Changes in Working Capital:	886	1,127	389	(2,328)	(2,078)	(7,796)
Others	(483)	(2,074)	(208)	1,151	1,029	3,893
Net Cash from Operations	**799**	**(616)**	**1,388**	**539**	**3,163**	**2,218**
Purchase of PPE	(218)	(867)	(352)	(2,500)	(2,000)	(2,000)
Other investing activities	(775)	171	1,929	25	(6)	(4)
Net Cash from Investing Activities	**(993)**	**(696)**	**1,578**	**(2,475)**	**(2,006)**	**(2,004)**
Dividend Paid and others	(249)	(124)	(65)	(613)	(855)	(2,504)
Shares Issued	0	0	0	4,628	0	0
Debt Issued	(12,700)	1,634	(2,835)	1,000	0	0
Others	13,164	(77)	951	0	0	0
Net Cash from Financing Activities	**216**	**1,433**	**(1,949)**	**5,015**	**(855)**	**(2,504)**
Exchange Impact	1	1	(4)	0	0	0
Net Change in Cash and Cash Equivalents	**22**	**122**	**1,013**	**3,079**	**302**	**(2,289)**
Cash at Beginning of Period	116	139	261	1,274	4,353	4,655
Adjustment	0	0	0	0	0	0
Cash at end of Period	**139**	**261**	**1,274**	**4,353**	**4,655**	**2,365**

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Source: Company Reports and Citi Research Estimates

Valuation Analysis

P/E analysis

We believe P/E valuation would be the appropriate methodology to estimate fair value for Ligent.

Ligent's key peers focusing on optical interconnect products are integrated optical transceiver providers including Accelink, HGTech, DSBJ, Coherent, and AAOI. The overall integrated optics peers' average FY27E P/E as of 26-Oct-2026 was ~22.6x. If we separate the valuation into two parts – pure optical transceivers business and laser business – its comparable peers would be Innolight and Eoptolink for optical transceiver business and Lumentum and other global laser suppliers as peers for its laser business. The average FY27E P/E for pure optical transceivers as of 26-Oct-2026 was 8.5x and for laser suppliers was 48.2x.

We believe Ligent would tend to be valued at a discount to direct peers given its strong but not dominant market position and early-stage optical chip business ramp. We believe the primary future valuation drivers will include the outlook for demand upside from domestic optics upgrade (800G+ pluggable and NPO), execution on ramping up the overseas CSP customer base, and expansion of optical chips demand.

Our SOTP-based target price of HK$33.40 is derived from: 1) 6x 27E EPS for Ligent optical module business, and 2) 15x 27E EPS for its optic chips business. The 6x 27E PE on optical module represents a ~20% discount on China peers' average of 7.3x, while 15x 27E PE on optic chips represents a ~70% discount compared to the global optic chips valuation of 48.2x.

Valuation comps

Figure 29. Global Optical Interconnects Supply Chain – Valuation Comps (pricing as at 26-Oct-2026)

				Price	Mkt-Cap	P/E (x)			P/B (x)			Div. Yield (%)		ROE		26-28E 2yr EPS
Company	RIC	Rating	Ccy	26-Oct	US$M	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY26E	FY27E	CAGR (%)
Major pure optical transceivers																
Innolight	300308.SZ	1	CNY	594.5	105,161	19.5	7.3	4.2	11.0	4.5	2.2	0.5	1.4	75.2	87.9	115%
Eoptolink	300502.SZ	1	CNY	251.7	52,628	10.2	7.2	5.3	7.6	3.8	2.3	1.1	1.5	91.6	70.9	39%
Fabrinet*	FN.N	NR	USD	325.2	11,655	23.1	17.9	15.0	4.7	3.9	3.2	0.0	0.0	23.0	23.6	24%
Average						**22.3**	**8.5**	**6.2**	**7.8**	**4.1**	**2.6**	**0.9**	**3.7**	**45.1**	**61.6**	**115%**
Integrated optical transceivers																
Coherent	COHR.K	1	USD	221.5	43,620	39.7	23.1	13.7	3.5	5.3	7.7	na	na	11.1	20.1	70%
DSBJ	002384.SZ	1	CNY	105.4	28,950	23.5	6.8	3.3	6.5	3.4	1.7	0.1	0.4	32.1	65.1	167%
Accelink	002281.SZ	2	CNY	122.5	15,205	61.1	40.6	28.2	8.6	7.3	6.0	0.3	0.5	15.1	19.4	47%
HGTech*	000988.SZ	NR	CNY	72.4	10,908	33.6	26.6	22.0	5.6	4.7	3.9	0.3	0.4	16.6	17.6	24%
AOI*	AAOI.O	NR	USD	71.9	6,108	99.6	15.6	8.1	5.3	na	na	0.0	na	52.0	na	251%
Average						**51.5**	**22.6**	**15.1**	**5.9**	**5.2**	**4.8**	**0.2**	**0.4**	**25.4**	**30.5**	**112%**
Major optical chips suppliers																
Lumentum	LITE.O	1	USD	818.1	74,106	94.3	32.5	20.0	19.4	13.6	8.3	na	na	34.4	42.9	117%
VPEC*	2455.TW	NR	TWD	467.0	2,680	81.2	46.9	29.4	23.4	18.5	12.3	0.9	1.7	28.3	43.2	66%
LandMark*	3081.TWO	NR	TWD	2,375.0	7,424	120.0	58.7	39.5	41.2	25.2	17.4	0.4	0.8	36.6	47.9	74%
MACOM*	MTSI.OQ	NR	USD	243.6	18,602	44.5	29.0	25.0	11.5	8.4	6.5	0.0	0.0	24.5	33.3	33%
Average						**95.2**	**48.2**	**31.9**	**26.2**	**17.9**	**12.1**	**0.4**	**0.7**	**30.4**	**41.1**	**73%**
Blended Average						**58.7**	**27.0**	**17.9**	**14.9**	**10.8**	**7.7**	**0.5**	**2.0**	**34.4**	**47.1**	**105%**

Rating: 1 = Buy, 2 = Neutral, 3 = Sell, H = High risk, NR = Not rated

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Source: Citi Research Estimates, *Estimates for asterisked companies are based on Consensus estimates

Key Risks

Competitive and market risks

The optical communication industry is highly competitive and fragmented. Ligent faces pricing pressure, potential market-share erosion, and ongoing risk of new entrants — particularly as it expands globally. Demand is cyclical and subject to rapid technological shifts, including the rise of AI and cloud computing, which can alter product life cycles unpredictably. Failure to continuously advance its R&D capabilities and product portfolio could render existing offerings obsolete, with no guarantee that R&D investment will translate into market acceptance or revenue.

FCC restriction risk

Potential FCC restrictions on Chinese optical transceivers remain a policy overhang for Ligent. While its Thailand facility could mitigate restrictions based on module production location, stricter requirements governing the origin of key optical components may have a greater impact. Such rules could limit US demand for Ligent's CW-DFB and EML chips, increase external sourcing costs for US-bound modules and reduce the benefits of vertical integration. Its New Jersey facility provides potential mitigation, but the outcome depends on whether wafers subsequently processed in China qualify as US-origin under future regulations or customer standards.

Customer and revenue concentration

Ligent's top-5 customers accounted for 56% / 67% / 70% / 71.8% of total revenue in 2023/24/25/1H26. This concentration creates significant vulnerability — any reduction in orders from major cloud service providers or telecom equipment vendors, driven by dissatisfaction, competitive alternatives, or their own market setbacks, could materially impair revenue and profitability.

Technology risks

The optical communications industry is characterized by rapid technological advancements and compressing product cycles. Ligent's success depends on its ability to develop products on a timely basis and compliant with evolving standards — including the transition to 800G and emerging 1.6T architectures. Failure to keep pace could render existing products obsolete and require costly redesigns with no guaranteed market acceptance.

Additionally, the emergence of Co-Packaged Optics ("CPO") poses a structural threat. As DSP and optical engine functions migrate into chipsets co-packaged with switch ASICs, addressable content for pluggable optical transceivers — Ligent's core product — could decline materially. Should CPO adoption accelerate, Ligent's revenue base may be adversely impacted if it cannot pivot its product portfolio accordingly.

Geopolitical and trade regulation risks

As a China-headquartered company with operations in Thailand and the U.S., Ligent is exposed to evolving U.S. export controls (EAR/BIS), sanctions regulations, and tariff policies. Sales to Entity List-designated customers and procurement of EAR-subject components require ongoing compliance vigilance. Tariff uncertainty

— including a 7.5% U.S. reciprocal tariff on China-origin products — and the Thailand-Cambodia regional conflict add further operational uncertainty.

Operational and financial risks, including cash flow risks

Ligent recorded net operating cash outflows of Rmb615.9mn and Rmb1,256.3mn in 2024 and 1H2026. Inventory turnover days remain elevated (~118–130 days across 2023 to 1H2026), and trade receivables have grown materially — reaching Rmb2,412mn on 30 June 2026. A prolonged cash conversion cycle, combined with reliance on external financing, creates liquidity pressure and credit risk exposure.

Ligent's production facilities are exposed to natural disasters, power supply disruptions, and hazardous material incidents. The company has identified shortfalls in social insurance and housing provident fund contributions (estimated exposure ~Rmb12.6 million in 2025), title-document deficiencies relating to three leased properties and 16 unregistered lease agreements, and potential transfer pricing adjustments — all of which carry regulatory and financial penalties.

Supply-chain and raw material risks

Ligent depends on third-party suppliers for critical raw materials, most notably optical chips. The top-5 suppliers represented over 20% of total purchases annually. Price volatility, supply shortages, geopolitical disruptions, or deterioration in supplier relationships, could increase production costs and cause delivery delays, adversely affecting margins and customer relationships.

Company Management & Shareholders

Management team

Figure 30. Ligent – Board of Directors and Management Team

Board of directors		
Name	**Position**	**Roles and**
Mr. Yu Zhitao	Non-executive Director and chairman	Providing guidance and advice on corporate and business strategies and presiding over the Board
Dr. Hong Jin	Executive Director, CEO and GM of optical transceiver business unit	Overall strategic planning and business operation and the operation of optical transceiver business unit
Ms. Wang Hui	Executive Director, CFO and Board secretary	Overall strategic planning, finance and capital management
Senior management		
Name	**Position**	**Background**
Dr. Hong Jin	Executive Director, CEO and GM of optical transceiver business unit	Overall strategic planning and business operation and the operation of optical transceiver business unit
Ms. Wang Hui	Executive Director, CFO and Board secretary	Overall strategic planning, finance and capital management
Dr. Li David Dawei	Vice President and GM of chip business unit	Strategy execution and business operation of chip business unit
Mr. Tan Yi	Vice President	Sales and business development in Europe and the Americas

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Source: Company Reports, Citi Research

Shareholder structure and lock-up period

Figure 31. Shareholder Structure

Shareholders	Characteristic	Shares	%	Lock-up period
Hisense Group + CKL	Controlling shareholders	394,224,950	40.1%	9/21/2027
Other existing investors	pre-IPO Investors and ESOP	416,701,850	42.4%	21/3-21/9/2027
ESOP Entity	*Bolangde + Talents Holdings*	*33,371,900*	*3.4%*	*9/21/2027*
TransLight		*188,300,750*	*19.2%*	*Gradual release from 22 Mar - 22 Sep 2027*
Global Optical		*133,630,750*	*13.6%*	
Others		*61,398,450*	*6.2%*	
IPO Cornerstone		80,876,700	8.2%	3/21/2027
Other IPO investors & public		91,138,000	9.3%	Free float
Total		**982,941,500**	**100.0%**	

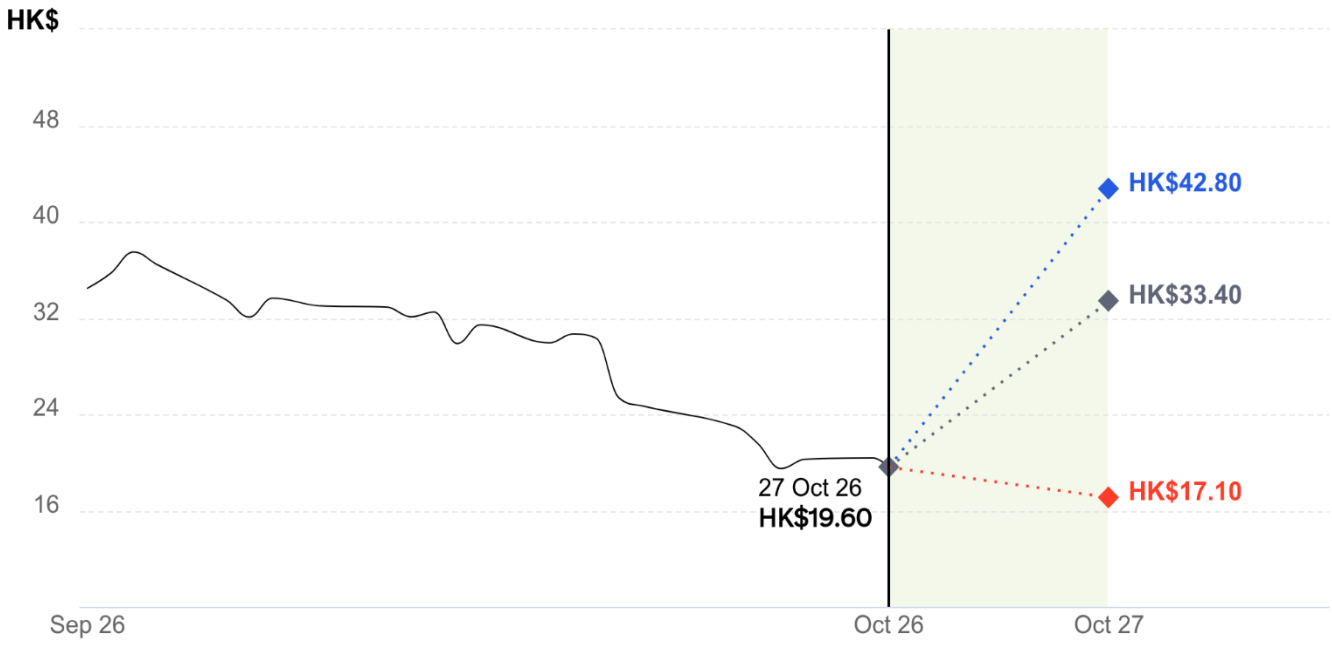
Lock-up shares summary		Released shares	%
Free float as of today		91,138,000	9.3%
3/22/2027	Cornerstone, Other pre-IPO gradual release	138,376,193	14.1%
4/22/2027	Other pre-IPO gradual release	134,165,482	13.6%
6/22/2027	Other pre-IPO gradual release	114,998,985	11.7%
9/22/2027	Controlling shareholders, ESOP, Other pre-IPO	504,262,840	51.3%
Total		**982,941,500**	**100.0%**

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Source: Citi Research, Company Reports

Bull/Bear: Ligent Technologies, Inc (9856.HK)

HK$ 42.80 ▲118% Upside | HK$ 33.40 ▲70% Upside | HK$ 17.10 ▼13% Downside



Spread 131pp
Current Price and expected returns (upside/downside) as of 27 Oct 2026

BULL Assumptions

- 10x 2027E EPS
- Stronger-than-expected domestic CSP demand
- Faster international business ramp

BASE Assumptions

- 7.8x 2027E EPS (6x for optical modules, 15x for optic chips)

BEAR Assumptions

- 4x 2027E EPS
- Softer-than-expected domestic CSP demand
- Slower international business ramp

Ligent Technologies, Inc

Company description

Ligent Technologies is an integrated optical communication and connectivity product provider engaged in the development, manufacture, and sale of optical transceivers, optical chips, and optical network terminals. Founded with over two decades of industry experience, Ligent has established a meaningful presence across key segments of the optical communication value chain, serving cloud service providers, telecom and network equipment vendors, and operators worldwide.

Investment strategy

We rate Ligent shares as Buy / High Risk. It is a well-positioned Chinese optical communication product supplier riding the AI infrastructure wave. In 2025, it ranked third domestically and fifth globally in optical transceivers, according to F&S. We believe the company's pivot to datacom products from 25% of revenue in 2023 to 66% in 2025 reflects effective product execution amid market tailwinds. The company's dual capability in optical transceivers and optical chips provides a meaningful structural edge, in our view. With 1.6T n and capacity expansions underway in Thailand and the US, Ligent is well positioned to enter a high-growth phase.

Valuation

Our SOTP-based TP of HK$33.40 is derived from: 1) 6x 27E EPS for Ligent's optical module business, set at a 20% discount to China peers' average; and 2) 15x 27E EPS for optic chips, set at a ~70% discount to global optic chips peers. The discounts reflect Ligent's strong but not dominant market position and early-stage optical chip business ramp.

Risks

Our quant system rates the Ligent stock High Risk. Risks that could prevent the stock from reaching our TP include: 1) slower-than-expected AIDC investments in China; 2) Margin contraction due to fierce competition with its rivals; 3) Market share loss in China; and 4) China-US tech disputes intensify.

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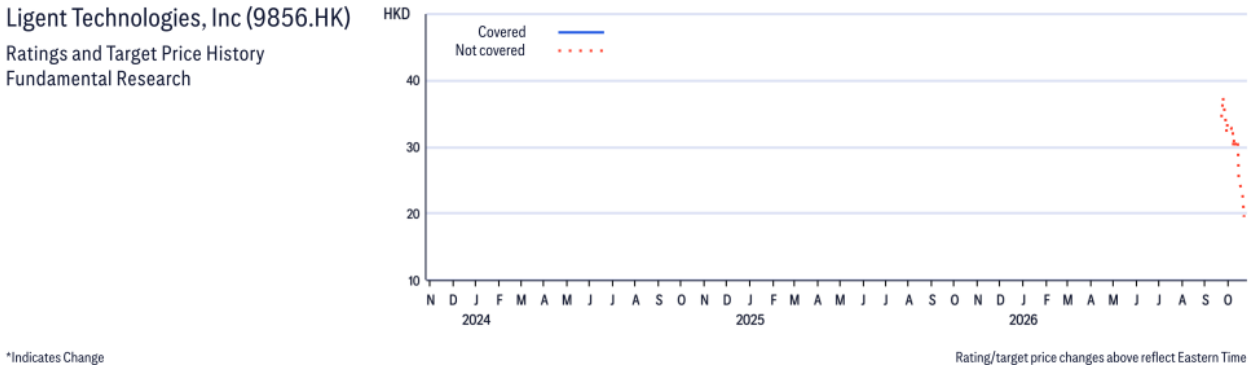
Appendix A-1

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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